



Koneru Lakshmaiah Education Foundation

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DEPARTMENT OF CSE

PROJECT ABSTRACT SUBMISSION

COURSE: ENGINEERING CAPSTONE PROJECT – 1(23IE4053R/23IE4053A) A.Y. 2026 - 2027

TITLE OF THE PROJECT	Credit Risk Scoring	
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Abstract

Credit Risk Scoring is a system that helps banks and financial institutions decide whether a person is likely to repay a loan or may fail to repay it. The main aim of this project is to predict the credit risk of a customer using their personal, financial, and loan-related information.

The system uses data such as **age, income, employment, loan amount, credit history, existing loans, and repayment details**. The collected data is cleaned and processed before giving it to machine learning models. Different machine learning algorithms such as **Logistic Regression, Decision Tree, Random Forest, Support Vector Machine, and K-Nearest Neighbours** are used and compared.

The performance of these models is measured using **accuracy, precision, recall, F1-score, and confusion matrix**. The best-performing model is selected to predict whether a customer has **low, medium, or high credit risk**. A simple web interface can also be developed where users enter their financial details and receive the predicted risk score.

This system can help banks **make faster loan decisions, reduce loan defaults, and minimize financial losses**. In the future, the system can be improved by using real-time banking data and advanced machine learning techniques.

Signature of the Guide

HOD